

have the legal right to raise your interest rate. They do it quietly and hope you won't notice. Most of the time, you don't.

But every debt you have now has just gone up. The increase in interest rates means thousands of dollars over the life of the loans. Thousands of dollars that you originally did not owe! Creditors may have the legal right, granted to them by their pals in Congress, to raise your interest rate merely because they see fit. The act of opening a new account can make them decide that you have now taken on too much credit so WHAM – with a review of your credit report, they have decided it is time to raise your interest rate. This is the one instance in the consumer lending industry where it is all for one, and one for all.

Remember the term I'm about to tell you: *universal default*. Not all banks and credit card companies use universal default, but quite a few do! When universal default is applied – and believe me, it is commonly applied – the bank is essentially saying, “We have the full right to raise our rates if the customer *might not* repay us.”

So goes their infallible logic. Even though they reviewed your credit report and credit score when you opened your credit card account, they continue to look at your credit report, looking for ways to weasel more money out of you.

Because of “universal default” (which you will hear about plenty), you can be charged the highest interest rate, up to 29%, even if you have never made a late payment on that card with their company or any other credit card. How outrageous is that! A late payment to another type of creditor, whether it's a personal loan, car loan, or mortgage loan, sets the guillotine in motion.

In addition to being able to jack up your interest rate, the credit card issuer can reduce or cancel your credit limit at any time. With no warning. Read the fine print of the disclosure statement for your credit card account; it is a real eye-opener. Any charge can be rejected *for any reason*, including default. You may be in the check-out line, buying diapers and formula, only to be sent home empty-handed after having your card rejected. When you call the credit card company to ask why they rejected the card, they can offer up just about any reason, and the sad part is: they are allowed to do so.